

good many of the people lower down the line hated IBM. In its glory days, IBM reps had become rather arrogant, knowing they were going up to see the president. They had barely tolerated the humble vice president in charge of computers. But suddenly that VP was the person with the purchasing power, and he was delighted to screw IBM.

Gradually IBM realized what was happening, but it couldn't figure out what to do about it. That happens often when the environment shifts. What happened to IBM was really the same thing that happened to the Pennsylvania Railroad. When the highway system was built, suddenly trucks were the way to move goods, and railroads weren't. Some of the railroads started truck lines. But they required a kind of entrepreneurial spirit that was uncommon among railroad people. The railroad business was so regulated that it was run by a bunch of bureaucrats who spent their days shuffling papers for the Interstate Commerce Commission. There was no way they could rise to the challenge of the highways and build successful trucking companies.*

Ecological changes create great opportunities for the investors who understand them. We'll come back to this concept in a later chapter, on identifying investment themes. Investors also have to watch out for the companies that can't adapt to change, and in today's business world changes come at a dizzyingly rapid rate. If you don't believe it, look back at the favorite growth stocks of yesteryear. You'll find some real giggles on the list and more than a few head scratchers. In the 1960s Polaroid, Burroughs, and Xerox were considered invincible. Later, as recounted, Schlumberger and IBM took on the mantle, and for a good many years Sears was a master of the universe.

The managers of small companies are generally better at re-

*Some railroads tried to enter other transportation businesses. The Denver Rio Grande and Western Railroad ran a bus line from 1927 to 1948, when it was sold to Continental Bus System. The bus line was not profitable for Denver Rio Grande, and the sale price, \$562,000, wasn't much above book value.